Seema Gupta And Anr. vs Nct Of Delhi on 12 October, 2007

Author: Shiv Narayan Dhingra

Bench: Shiv Narayan Dhingra

JUDGMENT

Shiv Narayan Dhingra, J.

1. This petition under Article 226 of the Constitution of India read with Section 482 Cr.P.C is preferred by the petitioners for quashing FIR No. 558/2007 under Sections 120B, 406, 420 IPC registered at Police Station Kalkaji.

2. It is stated that the instant FIR is an abuse of process of law lodged to harass and extort money from the petitioners who had no concern whatsoever with the alleged transactions or the disputes stated in the FIR.

3. A perusal of the FIR would show that the petitioners were named in the complaint filed by the complainant. The complainant stated that he was cheated of an amount of Rs. 28,84,57,698/- (Twenty Eight Crore Eighty Four Lac Fifty Seven Thousand Six Hundered Ninety Eight) by the accused persons, including the present petitioners, by playing fraud upon him and by misrepresentation. The complainant company was induced to part with its valuable resources and money and accused persons jointly and in connivance with each other made wrongful gains for themselves. The complainant was engaged in the reality business for about 60 years and was also rendering marketing, promotional and advertisement and advisory services of international standard. In March, 2006, Mr. Vijay Aggarwal and his two sons Mr. Dinesh Kumar Aggarwal and Mr. Amit Kumar Aggarwal met Mr. Rajesh Arora of the complainant company and introduced themselves as Directors of M/s Dev Builders and Colonizers having their registered office at 11-19A, 1st Floor, Kalkaji, Main Road, New Delhi. Mr. Dinesh Kumar Aggarwal also introduced himself as a Director of M/s Damini Resorts and Builders Pvt Ltd. with registered office at 42-D Model Town, Patiala Punjab. Mr. Amit Kumar Aggarwal also introduced himself as a Director of M/s Riverwood Construction Company, Pvt. Ltd. having its office at 11-19A 1st Floor, Kalkaji, Main Road, New Delhi and they told the complainant that they were coming up with a Mega Project of developing a township in Ludhiana City and that they were lawful owners and in possession of 100 acres of land situated at Pakhowal Road, Ludhiana, Punjab and were in the process of acquiring more land to the tune of 270 acres. M/s Damini Resorts and Builders Pvt. Ltd. and M/s River Wood Construction Pvt. Ltd. were associate companies of M/s Dev Builders and Colonizers Pvt. Ltd. Some correspondence with the Government of Punjab and some documents pertaining to the meeting held on 1st January, 2006 with High Empowered Committee with Government of Punjab were shown. The accused persons expressed their desire to enter into a Development Agreement with the

complainant as co-promoter of the project and wanted to avail marketing services to facilitate the development of land into complete township. They told that they were investing Rs. 40 crore each for this purpose and wanted the complainant company to invest money and get exclusive marketing rights of the project along with the 10% of the gross sale proceeds for the first sale up to one lac sq. yards of plotted area and 15% of gross sale proceeds of further sale of plot and built up area subject to maximum of 370 acres of land. A series of meetings took place and the complainant company agreed to invest money in the proposed Megacity Project. The complainant paid Rs. 1.98 crore between 10th April, 2006 and 13th April, 2006 to Mr. Vijay Kumar Aggarwal and Mr. Dinesh Aggarwal as an advance for expressions of interest in the project vide agreements and supplementary agreement dated 17th April, 2006. The complainant paid another amount of Rs. 1.80 crore on 18th April, 2006. Thereafter, the complainant met various demands on the instructions of accused No. 1 and 4. The complainant also paid a sum of Rs. 50 lac and Rs. 30 lac respectively on 27th April, 2006 and 29th April, 2006 to Ms. Seema Gupta, daughter of accused No. 1 and Sudhir Gupta, son-in-law, who are the petitioners in this case. The complainant kept on paying money in accordance with the instructions and representations made by the accused persons from time to time and in total paid a sum of Rs. 23,42,57,698/- (Twenty Three Crore Forty Two lac Fifty Seven Thousand Six Hundred Ninety Eight). All these payments were paid by the complainant either to the accused persons or their agents at E-114, Malcha Marg, Chanakaya Puri, New Delhi and these payments have been duly acknowledged by executing receipts or by correspondences. Based on the representations and assurances made by the accused persons, the complainant company advertised the project in various newspapers and print media. However, it transpired that no land for the project was purchased by the accused persons despite receiving money from complainant for this purpose. The complainant asked for detailed status of investments and the project to the accused persons but with no response. The complainant, therefore, stopped further payment/investment in the project till a satisfactory information was received from the accused persons.

4. The complainant thereafter learnt from the Internet site of Punjab Government that aforesaid Mega Project at Pakhowal Road, Ludhiana, has been withdrawn by the accused persons and there was no such project now in the offing. On learning this he met accused Vijay Aggarwal and his two sons and inquired about the project to know whether the project stood withdrawn. Accused persons refused to give any answer. The complainant also visited the Punjab Urban Development Authority and came to know that the project has been withdrawn by the accused themselves. It was withdrawn without knowledge or consent of the complainant after taking huge amount from the complainant. Thereafter, whenever complainant tried to meet the accused persons, the accused persons evaded him on one or the other pretext. However, with the help of arbitrator, a joint meeting was held on 13.02.2007 between the complainant and the accused No. 1 and 3. At this meeting, instead of talking of the refund of the money of the complainant, the accused No. 1 and 3 created a scene and threatened the complainant with dire consequences. The complainant submitted that he had paid above Rs. 23.42 crore to the accused persons and also spent another amount of Rs. 5.42 crores on the project by way of advertisement and other expenses. The entire amount was duly acknowledged and after receiving the entire amount, the accused persons vanished from the scene and could not be approached. It is submitted that the entire scheme of Mega Project was drawn to play fraud upon the complainant. The accused persons in connivance with each other made false representations of acquisition of land and starting up a construction site and induced complainant to part with huge

amount. The accused persons by making false representations to the complainant, thereby inducing the complainant to part with such a huge amount, committed cheating. They also deliberately committed breach of trust and misappropriation of complainant's money to the tune of Rs. 28,84,54,698/-.

5. It is argued by the counsel for the petitioners that a perusal of the complaint would show that the petitioners, who are daughter and son-in-law of accused No. 1 had no role in the project and they were falsely named in the FIR.

They had not made any misrepresentation to the complainant, even as per the complainant and, therefore, no case was made out against them.

6. It is settled law that an FIR is not an encyclopedia of facts. An FIR is merely an information given by the victim to the machinery of criminal law justice to bring it into the action against the offenders. The complainant has named the petitioners as the persons who received a sum of Rs. 50 lacs and Rs. 30 lacs respectively at the instance of accused No. 1. The office of petitioner No. 2, Sachin Gupta, who is stated to be a Chartered Accountant, is the same as that of the accused company i.e. 11-19A, First Floor, Kalkaji, Main Road. Only an investigation of the case by the police would be able to reveal if there was any hand of the petitioners in the entire fraud involving an amount of Rs. 28 crore approximately. The petitioners may be having case for grant of bail but there is no case for quashing of the FIR made out by the petitioners. It is settled proposition of law that High Court, in exercise of its inherent jurisdiction, may quash an FIR in rarest of rare cases where if all facts stated in the FIR are considered true, still commission of no cognizable offence is disclosed. It is not the case in the instant petition. If all the facts stated in the FIR are considered as true, it is apparent that a fraud was played to cheat the complainant of huge amount. As to what was the role played by the petitioners, can only be found out through investigation. The complainant has merely informed about playing fraud and to whom he paid the money. Only investigation would reveal the extent and magnitude of the fraud and the role of individual accused in that.

7. In view of my foregoing discussions, I do not find any reason to quash the instant FIR. This petition is hereby dismissed being devoid of merits.